

Red Hat & Hershey: Automation Partner Onboarding Brief

1. Industry Context: Why Automation is Critical in Confectionery & Snacking

The consumer packaged goods (CPG) and confectionery industries are currently facing intense macroeconomic pressures that make operational efficiency a strategic imperative. Historic inflation and extreme volatility in raw material costs—particularly cocoa, which saw prices surge over 130% in recent years—have severely compressed gross margins across the sector 1, 2. At the same time, food manufacturers are grappling with labor shortages, high turnover rates in rural processing plants, and the need to adapt to rapidly changing consumer health trends 3, 4. To combat these margin pressures and operational challenges, companies are aggressively turning to automation to reduce labor overhead, optimize supply chains, improve manufacturing yields, and cut expenses 4, 5.

2. Hershey's Strategic Focus on Automation Automation is at the very core of Hershey's current corporate strategy. The company is transitioning from a traditional chocolate manufacturer into a "Leading Snacking Powerhouse," and this evolution is heavily dependent on modernizing their operations 6.

For Hershey, automation is driven from the top down through major corporate initiatives:

- **Advancing Agility & Automation (AAA) Initiative:** Approved by the Board of Directors in early 2024, the AAA Initiative is a multi-year productivity program designed to simplify and automate processes across IT, the supply chain, manufacturing, and SG&A 7, 8. The company is investing heavily in this program to generate \$300 million in ongoing annual savings by 2026, which will be reinvested into brand growth 9, 10.
- **Digital Lean & Connected Worker Programs:** On the factory floor, Hershey is digitizing manual, paper-based workflows. Their goal is to empower frontline operators with real-time data, automated guidance, and issue resolution tools to achieve "zero loss" and maximize manufacturing productivity 11-13.

3. Red Hat's Automation Footprint and Strategy at Hershey Red Hat's goal is to position the **Ansible Automation Platform (AAP)** as the central engine to help Hershey achieve the ambitious cost-saving mandates of their AAA Initiative.

- **Current State:** Currently, Hershey's IT automation is somewhat disjointed. They rely heavily on community open-source Ansible (ansible-core) executed via GitLab runners, alongside various custom scripts 14, 15. While they have previously shown interest in using AAP for networking, they have yet to make the jump to the enterprise platform 14.
- **The Opportunity - Event-Driven Ansible (EDA):** Red Hat's primary wedge to drive AAP adoption is Event-Driven Ansible. Hershey is highly interested in integrating EDA natively with their existing Dynatrace (observability) and ServiceNow (ITSM) platforms 15.
- **Target Use Cases:** We are focusing on automated IT remediation. The vision is for Dynatrace alerts to automatically trigger Ansible remediation playbooks (such as adding F5 load balancer nodes), log the incident in ServiceNow, and close the ticket upon resolution 15. This is a massive win for Hershey, as it allows them to bypass long manual feedback loops and avoid heavy custom backend development within ServiceNow 15.

- **Next Steps:** We have an upcoming on-site "Tech Day" with Hershey's Engineering and Architecture team on April 16th, where the Ansible roadmap, Event-Driven Ansible, and ServiceNow workflow automation will be major focal points 16, 17.

Note: Please keep conversations focused strictly on the automation opportunities and the AAA Initiative. Hershey is a highly strategic account undergoing several other complex infrastructure and cloud modernizations, and we want to ensure our messaging remains tightly aligned with their IT automation goals.